

ARK INVEST AND BITCOIN EXPOSURE IN ETFs

As of March 2017 there were two ETFs that offered bitcoin exposure, ARK Invest's Next Generation Internet ETF (ARKW) as well as its overall Innovation ETF (ARKK). Both combine bitcoin exposure with a portfolio of growth stocks, and have been some of the highest performing ETFs in the market. Using Grayscale's BIT, ARK Invest became the first public fund manager to invest in bitcoin in September of 2015, and as of this writing still has the only ETFs on the market with bitcoin exposure. Given ARK's focus on fast-moving technologies like machine learning, autonomous vehicles, and genomics, investing in bitcoin was a natural fit for the firm.

THE ETN OPTION

Outside of the United States, more options for capital market-based bitcoin products exist, such as two exchange traded notes (ETN) offered by XBT Provider on Nasdaq Nordic in Stockholm, Sweden. Nasdaq Nordic is a regulated exchange system that is a subsidiary of the well-known Nasdaq in the United States. To list on Nasdaq Nordic, these products had to surmount a significant number of regulatory hurdles. Notably, these ETNs had been approved by Sweden's Financial Supervisory Authority (FSA), a government agency overseeing financial regulation in Sweden.